this time. The demand for steel skyrocketed, buoyed by the spiking demand from the country which was in a phase of unprecedented economic growth.

The surging demand triggered intense competition amongst steel manufacturers who looked at mergers and acquisitions as a way to enhance capacity. The inability of supply to keep pace with the growing demand resulted in an upsurge in steel prices. Under these circumstances, acquisition appeared to be the most logical path to grow, says Koushik Chatterjee.

Ratan also embraced the acquisition route and chose a European steel maker for risk diversification. Acquiring a large company in the continent looked like the most rational choice. Though the Asian market could grow faster, Europe was a stable geography with a mature market. Tata Steel already had a large presence in Asia, including in its home country, and Ratan wanted to hedge the risk of any sudden downturn in a region by spreading it between continents.

The other reason was that options were limited for Tata Steel to expand in India. Strategic growth could be driven in two ways—the first was through acquisitions and the second through greenfield projects, says Muthuraman. Soon after Ratan had completed his task of restructuring the Tata Group, he focused on establishing greenfield projects. But the projects got caught up in bureaucratic red tape, delays in land acquisition and problems with landowners.

For instance, in 1995, an MoU was signed by TISCO with the Odisha government for a possible site for a new plant in Gopalpur. The company wanted to establish a ‘New Jamshedpur’, says Muthuraman. But the state government failed in getting environment clearance for a dam to supply water in the quantities necessary for a large steel plant and the project died a natural death after eight years. This was a reminder of the difficulty in establishing a greenfield project.

In 1996, another agreement was signed for Kalinganagar that came into production only in 2016. ‘It was blocked at every end’ and land acquisition was not easy, remembers Ishaat Hussain. In 2006, police firing upon people rioting against the land acquisition left fourteen people dead. POSCO, a South Korean steel maker, and Arcelor Mittal, the world’s largest steel maker, also had to abandon their plans in the mid-2000s to establish large plants of 12 MT each, primarily due to land acquisition and raw material issues. Given such scenarios, ‘acquisition became a logical choice’, says